

23 Jul 2026 11:22:48 ET | 13 pages

Hengli Hydraulic (601100.SS)

Ball Screw and Linear Guide Likely a Beat; Positive Humanoid Read-Through from Seenpin

CITI'S TAKE

Our Japan machinery analyst Graeme McDonald expects [THK \(6481.HK\)](#) to report strong FY12/26 Q2 results on August 5, with FY12/26 OP guidance raised to around ¥40.0bn. This again echoes [our takeaway of previous trip to Hengli](#) which benefits from “**spill-over**” **effect on ball screw and linear guide** since both THK and NSK (6471.T) see tight supply in China, prolonging their delivery time to nine months. Hengli recently also indicated that their **ball screw and linear guide orders have reached Rmb500mn YTD**. We therefore believe that Hengli could beat its current 2026 revenue guidance of Rmb300mn. Separately, Seenpin (新剑传动) – a planetary roller screw/linear actuator supplier in Tesla Optimus supply chain – disclosed on [its A-share IPO prospectus](#) that its physical AI linear actuator GPM was 62.4%/70.3%/59.5% in 2023/24/25, leading us to believe that Hengli's humanoid robot component business will also be GPM accretive.

Ample upside to ball screw and linear guide – Differing from Japanese companies that see strong ball screw and linear guide demand from China's semiconductor and high precision manufacturing industries, Hengli benefits more from import replacement trend in China's PIMM (Plastic Injection Molding Machine) and machine tool sectors, and recently, AI and humanoid robot sectors create more machine tool demand and hence derive incremental demand for ball screw and linear guide. In addition, Hengli may also benefit from **CATL's (300750.SZ/3750.HK) battery swap station buildout** in China as mgmt. estimates the ball screw and linear guide dollar content per battery swap station to be ~Rmb50k. Lastly, mgmt. guided that Hengli will **launch non-magnetic and extremely corrosion-resistant or high-speed ball screw and linear guide products for the semiconductor industry in 2027** to capture the 25% of the ball screw and linear guide TAM in China (see [Hengli Hydraulic \(601100.SS\) – What's New From China Industrial & Automation Tour | Ball Screw a S-T Pain, L-T Gain](#)).

Read-through from Seenpin – Per our industry check, Seenpin is one of the linear actuator suppliers to Tesla Optimus. According to its A-share IPO document, its physical AI linear actuator ASP stayed ~60% or above from 2023 to 2025 despite certain degree of fluctuation. We thus believe that that Hengli's planetary roller screw products for humanoid robot clients could be GPM accretive (i.e., higher than blended average GPM) business for Hengli.

Recent note – [Hengli Hydraulic \(601100.SS\) – 2Q26E Preview: Strong Core Business but Sizable FX Loss Again; Humanoid Robot in Progress](#)

Buy

Price (23 Jul 26 15:00)	Rmb107.420
Target price	Rmb160.000
Expected share price return	48.9%
Expected dividend yield	0.6%
Expected total return	49.6%
Market Cap	Rmb144,031M US\$21,266M

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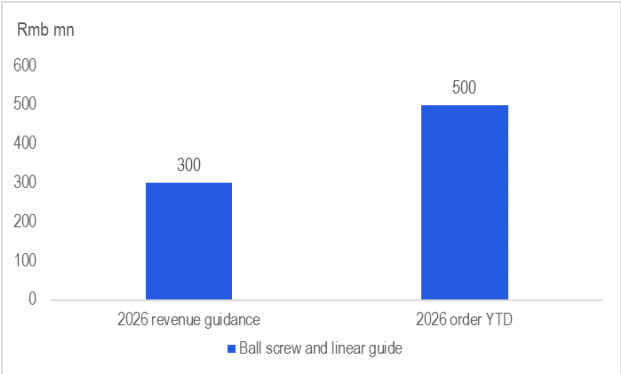
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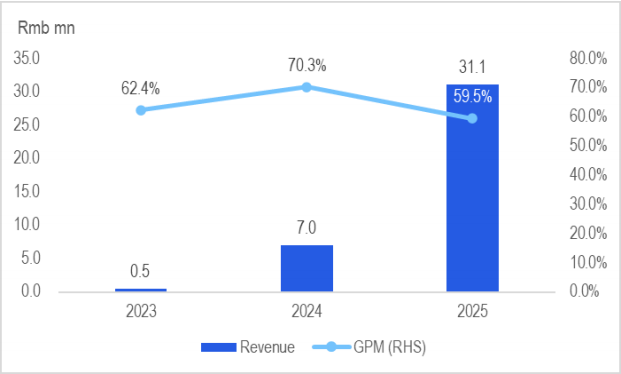
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Figure 1. Hengli: Ball screw and linear guide 2026 revenue guidance vs. order YTD



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Figure 2. Seenpin: Physical AI linear actuator revenue and GPM, 2023-25



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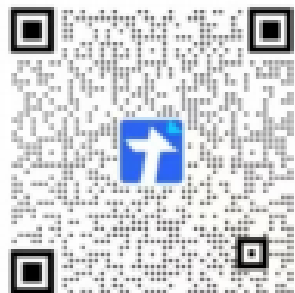
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Bull/Bear: Hengli Hydraulic

Rmb **200.000**
▲ 86% Upside

Rmb **160.000**
▲ 49% Upside

Rmb **100.000**
▼ 6.9% Downside



Spread 93pp
Current Price and expected returns (upside/downside) as of 23 Jul 2026

BULL Assumptions

- Valuation rerate on 62x 2027E P/E on strong product demand.

BASE Assumptions

- Valuation based on 50x 2027E P/E.

BEAR Assumptions

- Valuation derate on 38x 2027E P/E due to weaker demand.

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Hengli Hydraulic

Valuation

Our target price for Hengli of Rmb160.0 is based on 50x 2027E P/E, which is equal to its average P/E + 0.5x SD, to reflect its strong core business and potential re-rating due to rising humanoid robot exposure.

Risks

Key fundamental downside risks include: 1) weaker demand for excavator and non-excavator components; 2) weaker profitability of ball screw and Mexico plants due to weaker economies of production scale; and 3) lower-than-expected GPM on favorable product mix change. Any of these risk factors could cause the stock to deviate from our target price.

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Appendix A-1

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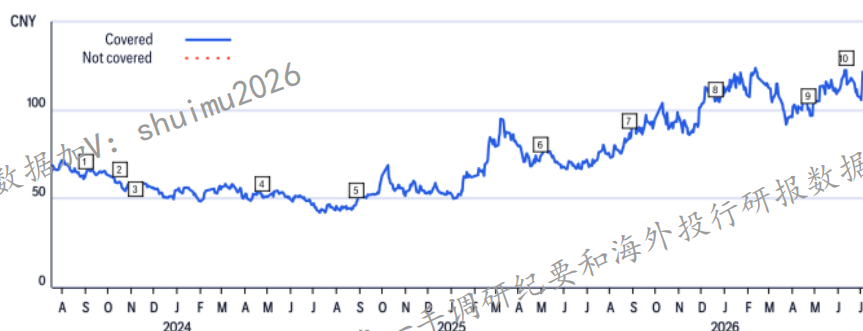
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Hengli Hydraulic (601100.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



Date	Rating	Target Price	Closing Price
1 03-Sep-23 11:12:07	1	*80.00	64.08
2 16-Oct-23 11:50:01	1	*74.00	59.56
3 07-Nov-23 17:22:26	1	*68.00	57.30
4 23-Apr-24 06:18:54	1	*59.00	51.24

Date	Rating	Target Price	Closing Price
5 27-Aug-24 09:15:53	1	*62.00	48.12
6 29-Apr-25 11:21:40	1	*85.00	73.71
7 26-Aug-25 10:25:10	1	*105.00	86.90
8 18-Dec-25 11:38:03	1	*135.00	105.00

Date	Rating	Target Price	Closing Price
9 22-Apr-26 11:42:00	1	*125.00	101.08
10 11-Jun-26 23:42:55	1	*160.00	122.51

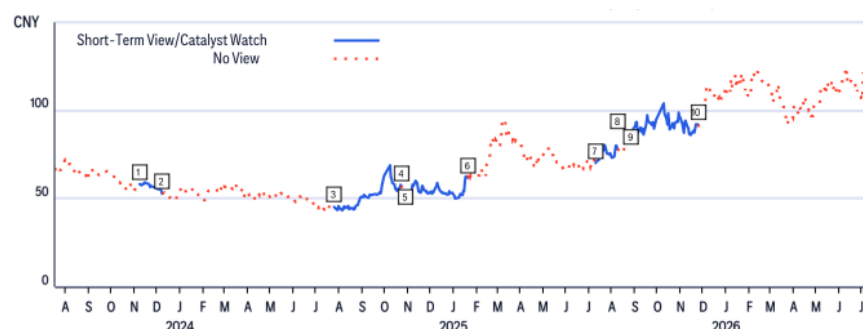
*Indicates Change

Rating/target price changes above reflect Eastern Time

Hengli Hydraulic (601100.SS)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



Date	Action	Expected Direction	Duration	Closing Price
1 08-Nov-23 02:23:35	Add CW	Downside	30 Days	58.22
2 08-Dec-23 11:00:30	Remove CW	Downside	30 Days	52.77
3 25-Jul-24 02:08:49	Add STV	Upside	90 Days	45.28
4 23-Oct-24 23:28:11	Remove STV	Upside	90 Days	57.35

Date	Action	Expected Direction	Duration	Closing Price
5 29-Oct-24 20:50:50	Add CW	Downside	90 Days	53.00
6 20-Jan-25 01:12:43	Remove CW	Downside	90 Days	61.91
7 10-Jul-25 04:48:00	Add CW	Upside	30 Days	70.20
8 08-Aug-25 14:18:06	Remove CW	Upside	30 Days	78.13

Date	Action	Expected Direction	Duration	Closing Price
9 26-Aug-25 06:25:10	Add STV	Upside	90 Days	86.90
10 24-Nov-25 21:14:47	Remove STV	Upside	90 Days	92.06

CW - Catalyst Watch, STV - Short-Term View

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